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FX Forecast Update

Weaker USD, GBP and NOK in 2026

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FX market overview

Recent developments: dovish Fed amid mixed US data and fragile risk sentiment

- Since our last FX Forecast Update on 18 November, US data following the resolution of the government shutdown has been mixed. The Fed delivered its third consecutive rate cut in December and now appears likely to remain on hold in January, with incoming data pivotal for shaping expectations around the timing and extent of further easing. Uncertainty persists regarding the appointment of the next Fed Chair, although the recent reappointment of regional Fed presidents has helped alleviate concerns around central bank independence. Risk sentiment has remained broadly constructive, with equities performing well despite ongoing AI-related revenue concerns prompting some rotation away from the tech sector. Global yields have generally drifted higher, led by the euro area on resilient data and hawkish ECB rhetoric, while US front-end yields remain broadly flat and long-end yields have tracked the global move. Oil prices have edged lower.

FX implications: softer USD and diverging Scandies

- Over the past month, EUR/USD has edged modestly higher to the 1.17-1.18 range following dovish tones from the Fed and narrowing rate differentials. EUR/SEK has slipped below 11.00, with the SEK ranking among the top performers in the G10, while EUR/NOK has overshot our 1M forecast in recent weeks driven by both shakier risk appetite, lower oil prices and weaker domestic figures out of Norway. The slide in the Japanese yen against the USD has levelled off, with USD/JPY stabilizing around 156-157.

Outlook: bullish on EUR/USD and EUR/Scandies

- While we previously held a tactical bias to the downside, we now view the near-term balance of risks as more neutral for EUR/USD. Over the medium term, we maintain our outlook for EUR/USD to trend higher, underpinned by rate differentials, a recovering European asset market, reduced global demand for restrictive policy, ongoing tailwinds from hedge ratio adjustments, and waning confidence in US institutions. For EUR/SEK, domestic factors like the brighter growth outlook and relative monetary policy have turned neutral-to-positive for the Swedish krona. For EUR/NOK, while we see scope for near-term stabilisation, we remain structurally constructive on the cross over the longer term, driven by the divergence in relative unit labour costs that creates an underlying real appreciation pressure on the NOK and by extension a nominal depreciation pressure on the NOK over time.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hit, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data and/or renewed euro area weakness that could prompt the ECB to cut again this year could keep the USD stronger-for-longer. We highlight that a stagflationary shock to the US economy might not necessarily be positive for the USD - even if the Fed refrains from cutting rates (or delivers hikes) – as the US investment case in such a scenario would suffer.

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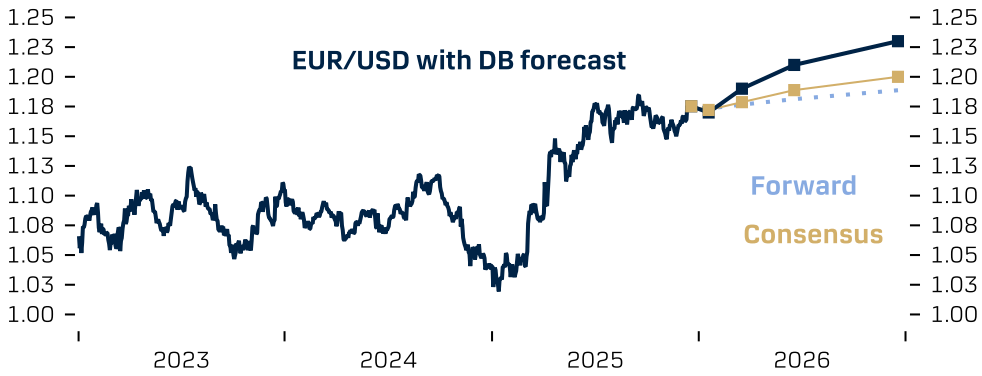
EUR/USD – tactically neutral, strategically bullish

- **Cyclical outlook.** With the government shutdown now behind us, market attention turns to delayed tier-1 US data. While private-sector indicators have pointed to some softness in the labour market – currently the Fed's primary focus – recession fears have eased as growth momentum remains robust. Inflation remains above the Fed's 2% target, but price pressures appear relatively contained for the time being. We continue to expect modest price increases and a gradual cooling in growth through Q4, with the risk of a more pronounced slowdown appearing limited at this stage. In the euro area, growth has held up better than expected. Businesses have shown resilience despite tariff uncertainty, and downside risks have diminished following the recent US-EU trade deal. We expect euro area inflation to average around 2.1% in Q4 before falling below target, averaging 1.8% y/y in 2026.
- **Monetary policy.** Following the Fed's anticipated third consecutive 25bp rate cut in December, markets are now more divided regarding the timing of the next potential cut. We expect the Fed to pause in January and deliver two additional 25bp cuts in 2026, in March and June. In the euro area, we anticipate that the ECB will maintain on hold throughout 2026 and 2027. All else being equal, we view the current monetary policy environment as broadly neutral for EUR/USD.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1–3Y horizon to be just above 1.20, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy.
- **Positioning.** CFTC IMM data shows that non-commercial EUR/USD positioning is broadly neutral from a historical perspective.

Forecast: 1.17 (1M), 1.19 (3M), 1.21 (6M), 1.23 (12M)



	1M	3M	6M	12M
Danske Bank	1.17	1.19	1.21	1.23
Consensus	1.17	1.18	1.19	1.20
Forward	1.17	1.18	1.18	1.19

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks to our forecast include stronger-than-expected US data, geopolitical escalations and/or renewed euro area weakness.
- **Conclusion.** EUR/USD has edged modestly higher since our last update. While we previously held a tactical bias to the downside, we now view the near-term balance of risks as more neutral for the pair. Over the medium term, we maintain our outlook for EUR/USD to trend higher, underpinned by narrowing real rate differentials, a recovering European asset market, reduced global demand for restrictive monetary policy, persistent tailwinds from hedge ratio adjustments, and fading confidence in US institutions.

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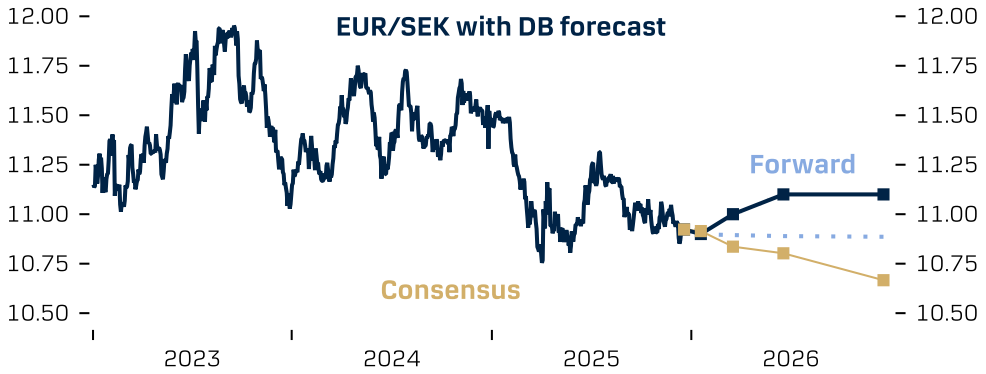
EUR/SEK – 2026 brings a more neutral outlook

- **Cyclical outlook.** National accounts data for Q3 reaffirmed that the outlook for the Swedish economy brightened significantly during autumn. Household consumption was a key driver of the strong growth in Q3, and next year's expansionary fiscal policy, with significant resources allocated to improving households' purchasing power, is likely to underpin consumer sentiment through 2026. We expect a marked outperformance in Swedish growth next year, with full-year growth around 2.5% versus 1.2% for the Euro Area.
- **Monetary policy.** At the final meeting of the year, the Riksbank kept rates unchanged as per expectations, with only a minor lift to the endpoint of the rate path. Looking into 2026 and beyond, we believe that significantly brighter domestic growth prospects have shifted the balance of risks into favouring hikes rather than cuts. Correspondingly, we now expect a first hike from the Riksbank already in December 2026 (followed by another in March 2027). As we expect the ECB to remain on hold throughout 2026 at least, the medium-term monetary policy outlook has now turned marginally in favour of the SEK, with the potential Dec-26-hike currently priced as close to a 50/50-event.
- **Flows.** Recent balance of payment (BoP) data as well as the mutual fund flows confirm that the Swedish savings-investment balance continues to generate net-buying of foreign equities. We expect this to continue also in 2026, as we see no indications of a trend-reversal in neither the BoP nor the mutual funds flows - on the contrary, net-buying of foreign equities accelerated in Q3. While a rising foreign appetite for Swedish debt is a potential SEK positive, the structural flow balance continues to be a headwind for the SEK.
- **Valuation**. Our fair value estimates have converged around 11.00, with relative macro pulling from below whilst relative rates remain above. The Riksbank continues to gradually moderate their assessment of the perceived "undervaluation" of broad SEK, with an almost completely flat KIX-forecast.
- **Risks.** Yet another 'false start' to the Swedish growth outperformance constitutes the main, domestic, downside risk to the SEK whereas US and USD risks are two-sided and associated with vast outcome spaces.

Forecast: 10.90 (1M), 11.00 (3M), 11.10 (6M), 11.10 (12M)



	1M	3M	6M	12M
Danske Bank	10.90	11.00	11.10	11.10
Consensus	10.91	10.84	10.80	10.67
Forward	10.90	10.89	10.89	10.89

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Domestic factors like the brighter (Swedish) growth outlook and relative monetary policy where the Riksbank is expected to embark on a tightening cycle before the ECB have turned neutral-to-positive the krona. However, the late 2026 rate hike that we look for is to some extent already priced in while EUR/SEK spot looks cheap against our relative rates model. Meanwhile, global drivers like US yields, which are set to rise in our forecast, and Swedish structural saving-investments flows, which has shown an accelerated demand for global equities in 2025, remain headwinds for the SEK. That said, foreign demand for Swedish government bonds could mitigate the SEK-negative flow balance if these flows are unhedged. Additionally, our call for broad USD weakness might be SEK supportive. In all, we have flattened the EUR/SEK forecast trajectory, signalling a more SEK-neutral outlook. In contrast to economist consensus, we argue that the SEK is not significantly undervalued and that EUR/SEK looks fairly valued at current levels.

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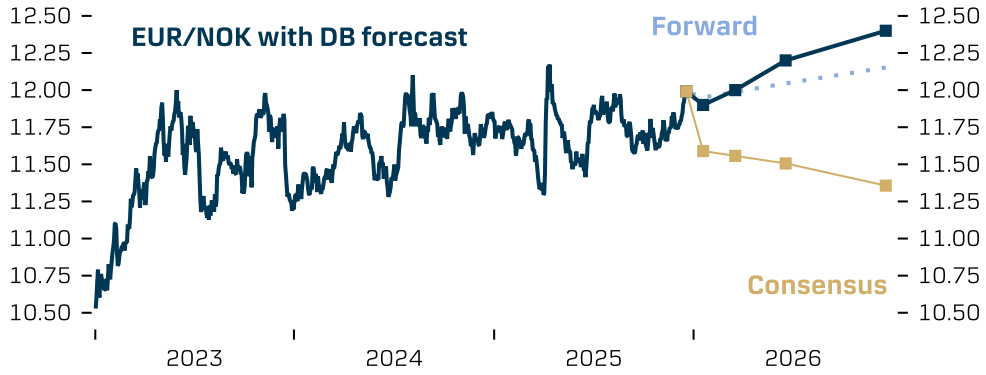
EUR/NOK – 2026 is likely to be yet another year with a higher spot

- **Cyclical outlook.** Economic figures have recently added support to our narrative that markets since summer have underappreciated the potential for Norges Bank to deliver more than a single rate cut in 2026. National account figures have shown that the mainland economy only grew by 0.1% in Q3 which together with negative revisions to previous quarters has brought the y/y growth rate down to 1.2%. Also, the Regional Network Survey showed that capacity utilisation is falling and that labour is a limiting factor for fewer entities now than in September. Finally, November core inflation brought a reversal of the "Black Friday" components that triggered the inflation top-side surprise last month. Now core inflation stands at 3.0% y/y with disinflationary details which alongside weaker profitability in the petroleum industries suggest lower wage demands at next year's central wage negotiations.
- **Monetary policy.** At the December monetary policy meeting Norges Bank (NB) kept rates unchanged as widely expected and communication was to the hawkish side. We now pencil in three quarterly rate cuts in 2026 starting in June, which would bring the sight deposit rate back to 3.25%. In our view relative rates will be a negative for NOK FX in the coming year.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB will become a considerable NOK buyer in 2026 (fiscal- and FX reserve cap transactions) but this merely reflects equivalently less NOK buying from oil and gas companies amid declining revenues.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labours costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be long but not stretched so.

Forecast: 11.90 (1M), 12.00 (3M), 12.20 (6M), 12.40 (12M)



	1M	3M	6M	12M
Danske Bank	11.90	12.00	12.20	12.40
Consensus	11.59	11.56	11.51	11.36
Forward	11.95	11.99	12.05	12.15

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks are closely connected to the global investment environment and hence USD real rates, commodity prices and the relative performance of European assets vs US. In the near-term we will in particular monitor US data releases and seasonal patterns related to topside in Q4 and downside in January.
- **Conclusion.** EUR/NOK has overshot our 1M forecast in recent weeks driven by both shakier risk appetite, lower oil prices and weaker domestic figures out of Norway. Short-term we do see a potential for a stabilisation – especially in January where EUR/NOK has a seasonal tendency to decline. That said, long-term we still believe the trend is for a move higher in the cross driven by the divergence in relative unit labour costs that creates an underlying real appreciation pressure on the NOK and by extension a nominal depreciation pressure on the NOK over time.

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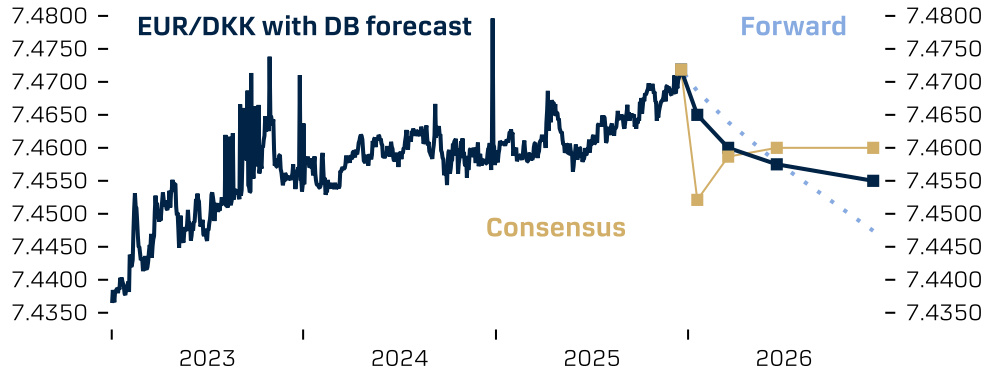
EUR/DKK – renewed upwards pressure

- **Cyclical outlook.** The cyclical environment looks about neutral for EUR/DKK. Equity markets are shaky, which is slightly positive for EUR/DKK through rebalancing effects. Development in US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** We now expect the ECB to keep its key policy rate steady at 2.00%, which means we look for Danmarks Nationalbank (DN) to stay on hold at 1.60% thereby maintaining the policy rate spread at -40bp. EUR/DKK still trades towards the top of the historic trading range and keeps the market speculating about a potential unilateral DN rate hike. However, EUR/DKK would likely have to rise to around 7.4730 or higher and DN would have to make FX intervention first before a rate hike would come into play. We do not expect that will happen and look for DN to keep the -40bp policy rate spread to ECB, i.e., should ECB change interest rates, DN would follow 1:1.
- **External balances.** Denmark continues to run a very large current account surplus around 10-15% of GDP with pharmaceutical exports making a big contribution to the trade surplus. Service exports also help despite the rise in tariffs. The significant surplus which materialises in a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve.
- **Positioning.** Recent hedging data from the Danish central bank showed that the domestic life and pension kept its USD hedge above 70% in October. The ratio is still well above the level from the start of the year. The sector has cut its EUR hedge ratio. If the sector increases hedge ratios again, it will weigh on EUR/DKK.

Forecast: 7.4650 (1M), 7.4600 (3M), 7.4575 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4650	7.4600	7.4575	7.4550
Consensus	7.4521	7.4587	7.4600	7.4600
Forward	7.4686	7.4639	7.4578	7.4474

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. Political uncertainty in France and fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light. For now, the former has had little effect on the pair.
- **Conclusion.** We look for EUR/DKK to fall to 7.4650 level near-term and further down towards 7.4550 level on 12M as strong fundamentals continue to weigh on the pair. Liquidity conditions have eased and should stay easy in contrast to EUR liquidity conditions, which keeps FX forwards low.

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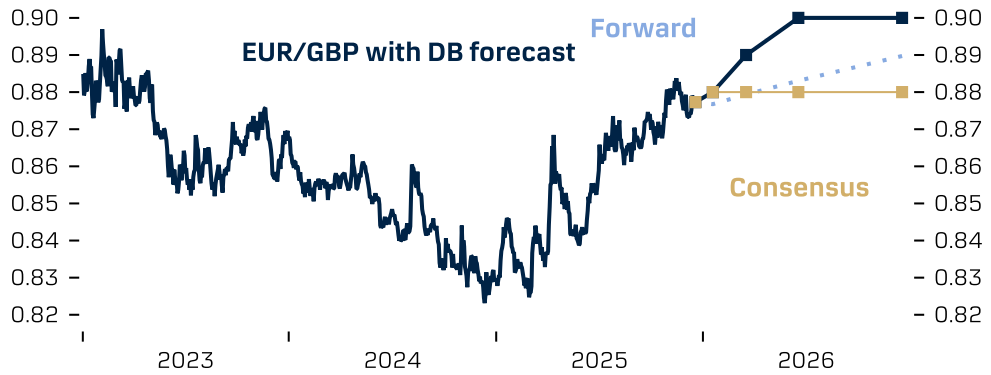
EUR/GBP – GBP going into 2026 on a weak footing

- **Cyclical outlook.** GDP data for October also disappointed with another 0.1% mom contraction driven by a weak service sector. The economy has not grown since June. On the labour market, job losses have accelerated in the fall with most recent data, showing a 32K decline in September and October. The unemployment rate increased to 5% and wage growth has been edging lower in September. The key concern for the Bank of England (BoE) remains elevated inflation. However, inflation has recently been significantly lower than expected with underlying price pressures easing. Combined with a muted growth outlook and a weakening labour market, this should pave the way for further monetary policy easing.
- **Monetary policy.** The BoE decided to cut the Bank Rate to 3.75% in December, in a narrow vote split with 4 members voting for a 25bp cut and 5 members voting for an unchanged decision. The BoE repeated the *"Bank Rate is likely to continue on a gradual downward path".* The MPC remains highly split in two camps and commentary from the dovish camp highlights that a cutting cycle could well extend. We expect the BoE to deliver the next cut in the Bank Rate in April but see risks of the cut being delivered quicker. We see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83.
- **Positioning.** Non-commercial positioning is neutral EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK. If growth fares better than expected in the UK, this could send EUR/GBP substantially lower.

Forecast: 0.88 (1M), 0.89 (3M), 0.90 (6M), 0.90 (12M)



	1M	3M	6M	12M
Danske Bank	0.88	0.89	0.90	0.90
Consensus	0.88	0.88	0.88	0.88
Forward	0.88	0.88	0.88	0.89

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** EUR/GBP has edged lower the past weeks, breaking below the 0.88 mark. Budget concerns have eased following the Autumn Statement with the government sticking to its fiscal rules although the fiscal policy tightening was significantly backloaded. We see domestic factors and the relative growth outlook between the UK and the euro area as GBP negatives. This is further amplified by divergence in the fiscal policy outlook. Additionally, a global investment environment characterised by elevated uncertainty and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.90 on a 6-12-month horizon.

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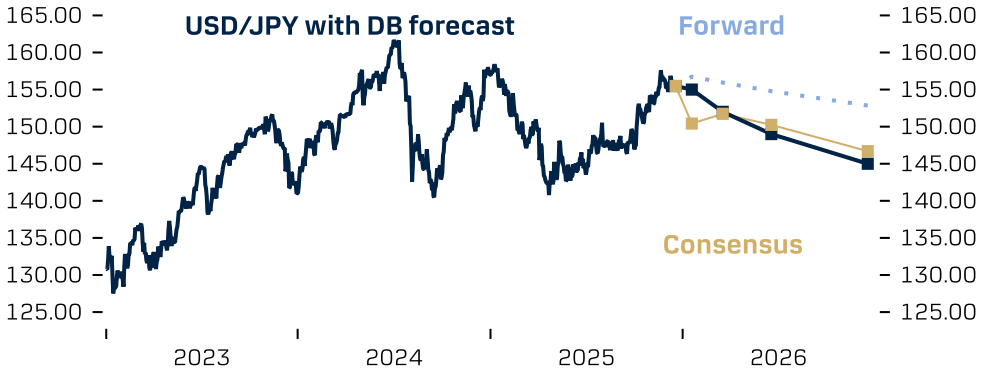
USD/JPY – lower cross in 2026

- **Cyclical outlook.** The Q4 Tankan survey indicated that the Q3 GDP contraction was likely temporary, with the economy continuing to display resilience despite tariff-related headwinds. The survey revealed that business sentiment among Japanese manufacturers improved to its highest level in four years, while sentiment among non-manufacturers remained elevated, likely bolstered by Prime Minister Takaichi's pro-stimulus fiscal agenda and a weaker yen. Recent economic data aligns with the December BoJ hike, and looking ahead, we anticipate domestic demand to gradually strengthen in the coming months, supported by positive real wage growth. Inflation remains persistently near 3%, creating scope for further monetary policy tightening in 2026.
- **Monetary policy.** Following the BoJ's 25bp hike at the December meeting, raising the policy rate to 0.75% – its highest level since 1995 – we see room for additional hikes in 2026. We anticipate another 25bp hike at the April meeting, while markets are only fully pricing in the next move by September. A resilient economy, elevated inflation, and a weak currency are expected to keep the BoJ on course to further normalise monetary policy, which remains arguably below neutral. For USD/JPY, however, we continue to stress that the Fed's cutting cycle remains the key driver from a monetary policy perspective. That said, another BoJ hike in H1 could exert downward pressure on the cross.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports this year have nearly closed the gap caused by the pandemic. The tourism sector appears to be rebounding, which could add some JPY demand to the market.
- **Positioning.** Speculators are stretched long positioned in the JPY.
- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay further Fed cuts. An energy shock from geopolitical tensions could also pose upside risk.

Forecast: 155 (1M), 152(3M), 149 (6M), 145 (12M)



	1M	3M	6M	12M
Danske Bank	155	152	149	145
Consensus	150	152	150	147
Forward	157	156	155	153

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Since our last update, the upward momentum in USD/JPY has levelled off. We maintain that the strategic case for a lower USD/JPY remains intact, with narrowing rate differentials still anticipated, even as tactical risks have become more balanced. As global trade uncertainty dissipates, we expect market focus to increasingly return to fundamental drivers, which, in our view, point to downward pressure on USD/JPY. We forecast the cross on a declining trajectory in 2026, with the tail risk of a sharper-than-expected US economic slowdown posing additional downside risk for USD/JPY.

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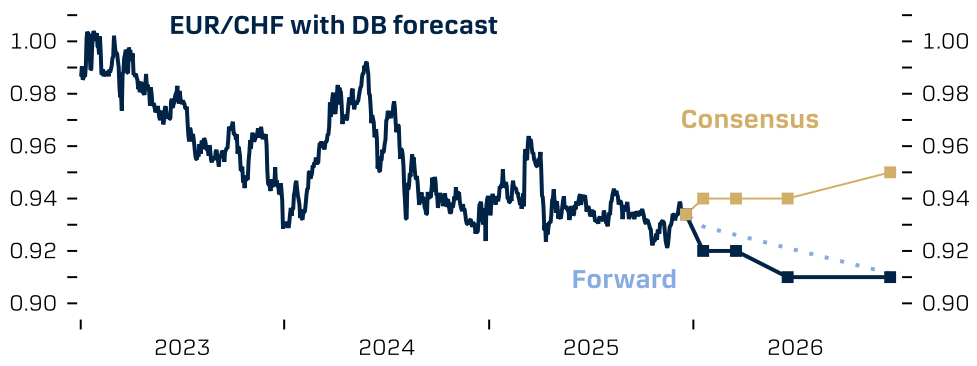
EUR/CHF

Forecast: 0.92 (1M), 0.92 (3M), 0.91 (6M), 0.91 (12M)

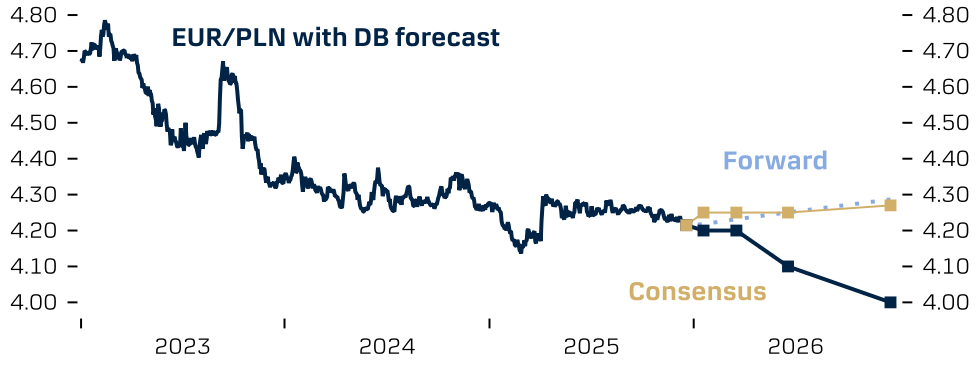


Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- EUR/CHF continues to trade to the heavy side close to the 0.92 mark. We remain bearish on EUR/CHF, targeting a sustained move towards 0.91 in 6-12 months.
- The Swiss National Bank (SNB) remains firmly on hold with its policy rate at 0% and we expect this to remain the case. However, recent inflation data has been to the soft side, which has increased the pressure on the SNB. The deal of cutting US tariffs from 39% to 15% should offer some relief to Swiss manufacturers, however. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risks to this call are aggressive FX intervention from the SNB to weaken the CHF and US trade policy to have a lasting impact on Swiss growth.

EUR/PLN

Forecast: 4.20 (1M), 4.20 (3M), 4.10 (6M), 4.00 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- With a total of six cuts and a cumulated 175 basis points worth of easing in 2025, the NBP now seems ready for a pause. Although some board members keep the door open for one or two more cuts in 2026, the end of the easing cycle draws near, and we expect the NBP to proceed with caution from here. Or, as Governor Glapinski put it at the December meeting; they are now in wait-and-see mode. Although we agree with that sentiment, it is also worth keeping in mind that Glapinski's verbal communication through 2025 has been on the slightly hawkish side of his actual policy lean.
- Money market pricing sees scope for two more cuts during H1 2026, which is fairly in line with the dovish tilt remaining in the BNP board. As inflation continues to moderate, we see pricing as roughly fair although we judge risks tilted towards less cuts on the back of continued strong economic growth prospects. With an expected growth outperformance, a positive rate gap (versus the Eurozone) and a continued strong foreign demand for Polish assets, we reiterate our bullish bias on the Zloty, seeing a gradual decline in EUR/PLN towards 4.00.

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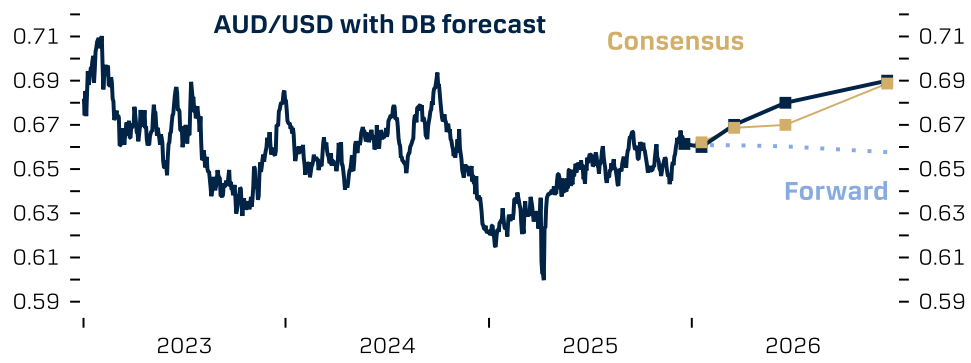
AUD/USD

Forecast: 0.66 (1M), 0.67 (3M), 0.68 (6M), 0.69 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD/USD has traded higher over the past month, supported by stronger risk sentiment and hawkish repricing of monetary policy expectations.
- The Reserve Bank of Australia (RBA) maintained rates unchanged in December, as widely expected. RBA guided, that it is no longer expecting further cuts to the policy rate and instead, the outlook is for either an extended pause or rate hikes. Markets are pricing between 1-2 25bp rate hikes for 2026, which has widened interest rate differentials significantly in favour of AUD vis-à-vis both USD and EUR.
- While export prices of steelmaking ingredients and other industrial metals have continued rising, Australian terms-of-trade have actually weakened over the past month due to the decline in global LNG prices. This, alongside still subdued economic activity in China, could limit near-term upside potential for AUD. That said, we maintain our cautiously upward-sloping forecast profile unchanged for the coming year.

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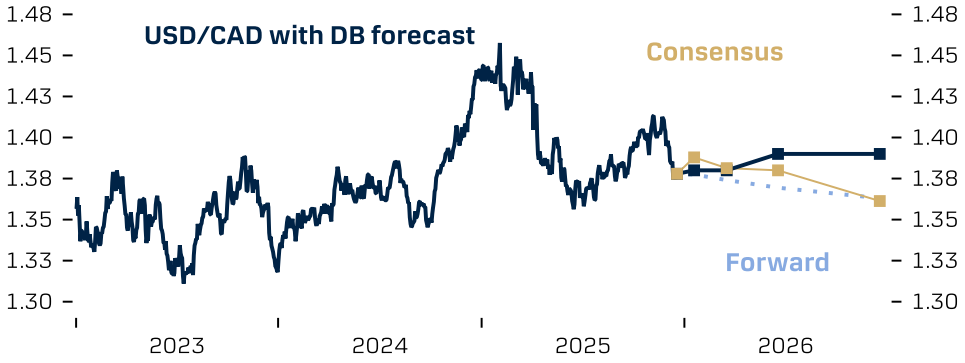
USD/CAD

Forecast: 1.38 (1M), 1.38 (3M), 1.39 (6M), 1.39 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- Despite the recent decline in oil prices the CAD has done recently well vis-à-vis other oil exporting currencies. Consequently, the dominant driver of USD/CAD has in recent weeks been the weakening of the USD which has added a downside pressure on the cross sending the spot level to the lowest level since September.
- Going forward we remain negative on both the trade weighted CAD and USD (see the EUR/USD page). However, we think the CAD-weakness looks set to marginally dominate amid structural vulnerabilities of the Canadian economy and the reliance on US demand/tariffs. Even if Bank of Canada might well have delivered its final rate cut in this cycle, we overall see relative rates as a neutral for the cross. Near-term, the cross will largely be a derivative of the global USD narrative and on how cyclically sensitive assets perform globally.

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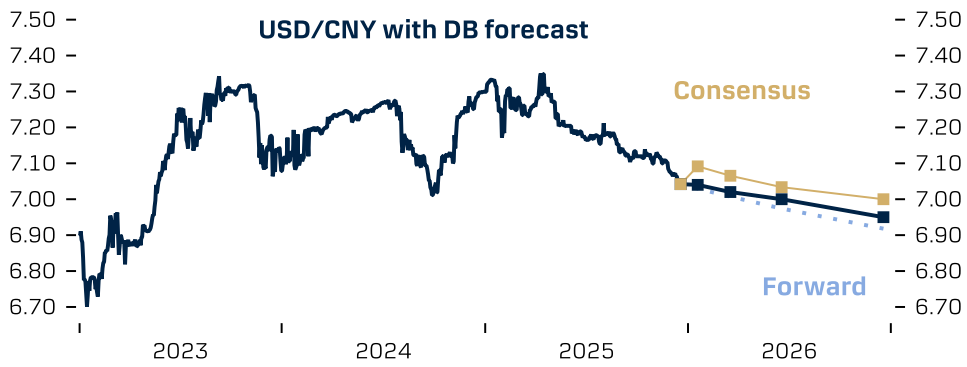
USD/CNY - the trend is your friend

- **CNY the past month.** USD/CNY continued to trend lower from around 7.10 to 7.04 as PBOC continues to lower the fixing and the trade weighted USD weakened.
- **Growth outlook.** The Chinese economy continues to be a two-speed economy with weak domestic demand and strong exports and tech development. Data for November showed even more weakness in retail sales falling to 1.3% y/y from 2.9% y/y and home sales continued on a declining trend. Export growth rebounded, though, and is running close to 10% y/y in real terms. The annual Central Economic Work Conference showed no sign of a big stimulus coming but we expect China to continue to support the economy enough to keep growth close to 5% growth again in 2026 (our forecast is 4.8%).
- **Monetary policy.** PBOC has not eased policy since 6 May, but we look for further moderate easing in coming quarters to support domestic demand and housing.
- **FX policy**. Since summer 2023, PBOC has used the USD/CNY fixing more actively and with the recent decline in the fixing, PBOC sends a signal it would like to see a gradual appreciation of the yuan alongside the overall weakening of the USD. The fixing sets the middle of the +/-2% daily trading band. While the nominal trade weighted currency is broadly flat the real trade weighted currency is down by around 20% over the past 3-4 years.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, due to a pick-up in outbound tourists. Net FDI is negative as inbound FDI has weakened while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.). They also increasingly invest in Southeast Asia where tariff rates to the US are lower.
- **Valuation.** With a continuously rising trade surplus and depreciation of the real currency, the CNY looks increasingly undervalued in the long run.

Forecast: 7.04 (1M), 7.02 (3M), 7.00 (6M), 6.95 (12M)



	1M	3M	6M	12M
Danske Bank	7.04	7.02	7.00	6.95
Consensus	7.09	7.07	7.03	7.00
Forward	7.03	7.01	6.97	6.92

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** The uncertainty to the outlook is generally high due to unpredictability of Trump's policies and uncertainty over how much appreciation of CNY PBOC will tolerate.
- **Conclusion.** We lower the 1M forecast to 7.05 and move down the profile a notch on the back of the faster pace of decline in the fixing than expected. On a 12M horizon the target is lowered from 7.0 to 6.95. Broad dollar weakening and a revealed preference of PBOC for more CNY strengthening are the main drivers.

  Our forecast still implies a moderate rise in EUR/CNY.

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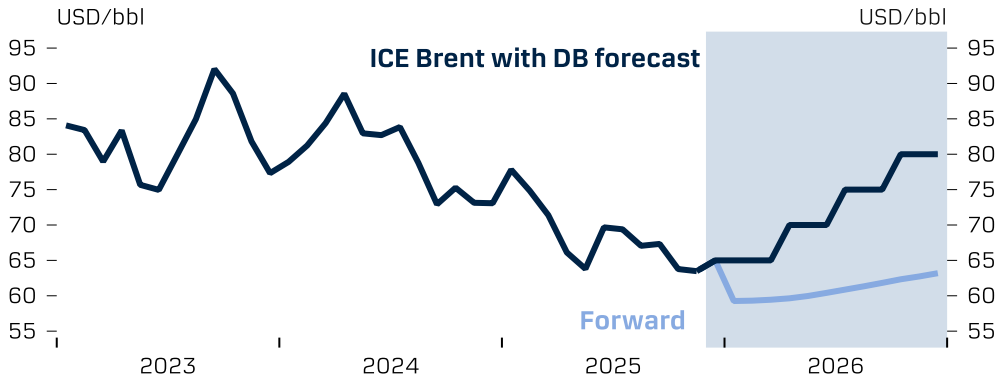
Oil – well-supplied amid geopolitical uncertainty

- **Macro.** The oil market remains well supplied following a series of OPEC+ output hikes. The cartel has room to hike output further and will likely do so in the coming years with the risk that output increases will continue to be front-loaded. Hence, even as Ukraine-Russia peace talks drags and US mulls military intervention in Venezuela, the risk of a deficit in the oil market seems low.
- Trade tensions continue to weigh on global oil demand. Tension have eased some recently and the US supreme court looks set to strike down on reciprocal tariffs in December. The result might be more uncertainty about the end-level of tariffs, rather than a reversal of this year's tariff hike.
- Saudi Arabia sharply increased its oil output in June, which likely explain why oil prices did not increase more than they did following the escalation of the conflict between Israel and Iran. It proves that strong automatic stabilisers are present in the oil market right now and help mitigate the impact, e.g. from geopolitical uncertainty. The US has continued buying oil for its strategic reserves but could also halt these purchases if global oil supply was hit and likewise increase purchases if prices fall too much.
- The US oil rig count is on decline as low oil prices hurt profitability in the industry.
- **Risks.** The risks to our oil price forecast are high – in particular in the short-term, where the outcome space for the conflict in the Middle East and Venezuela and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions if peace talks fail.
- **Conclusion.** We look for Brent to average USD65/bbl in Q1 and rise to, USD80/bbl next year. The rise over the coming year reflects a reversion to a more normal level for the oil output as we do not expect the current level of prices will be sustainable over the medium term

Forecast: 65 (Q1'26), 70 (Q2'26), 75 (Q3'26), 80 (Q4'26)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

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Danske Bank FX forecasts vs EUR

G10				Last Update:	19/12/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.17	1.17	1.19	1.21	1.23
EUR/JPY	184	181	181	180	178
EUR/GBP	0.88	0.88	0.89	0.90	0.90
EUR/CHF	0.93	0.92	0.92	0.91	0.91
EUR/SEK	10.90	10.90	11.00	11.10	11.10
EUR/NOK	11.93	11.90	12.00	12.20	12.40
EUR/DKK	7.4712	7.4650	7.4600	7.4575	7.4550
EUR/AUD	1.77	1.77	1.78	1.78	1.78
EUR/NZD	2.04	2.02	2.02	1.98	1.98
EUR/CAD	1.62	1.61	1.64	1.68	1.71
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.21	4.20	4.20	4.10	4.00
EUR/HUF	387	390	400	410	410
EUR/CZK	24.4	24.4	24.2	24.1	24.0
EUR/TRY	50.2	50.8	53.4	56.9	63.1
EUR/ZAR	19.7	19.6	19.8	20.0	20.1
EUR/CNY	8.25	8.24	8.35	8.47	8.55
EUR/INR	104.6	104.1	106.5	109.5	111.9

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	19/12/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	637.84	638.03	626.89	616.32	606.10
JPY/DKK	4.06	4.12	4.12	4.14	4.18
GBP/DKK	853.08	848.30	838.20	828.61	828.33
CHF/DKK	801.64	811.41	810.87	819.51	819.23
SEK/DKK	68.48	68.49	67.82	67.18	67.16
NOK/DKK	62.66	62.73	62.17	61.13	60.12
EUR/DKK	747.12	746.50	746.00	745.75	745.50
AUD/DKK	421.42	421.10	420.02	419.10	418.21
NZD/DKK	366.52	370.06	369.87	375.96	375.78
CAD/DKK	462.42	462.34	454.27	443.40	436.04
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	177.37	177.74	177.62	181.89	186.38
HUF/DKK	1.93	1.91	1.87	1.82	1.82
CZK/DKK	30.72	30.59	30.83	30.94	31.06
TRY/DKK	14.89	14.70	13.96	13.11	11.81
ZAR/DKK	38.03	38.09	37.58	37.20	37.07
CNY/DKK	90.61	90.63	89.30	88.05	87.21
INR/DKK	7.15	7.169	7.004	6.810	6.660

Source: Danske Bank

Note: The convention used is 1/100

Danske Bank FX forecasts vs SEK

G10				Last Update:	19/12/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.31	9.32	9.24	9.17	9.02
JPY/SEK	5.92	6.01	6.08	6.16	6.22
GBP/SEK	12.46	12.39	12.36	12.33	12.33
CHF/SEK	11.71	11.85	11.96	12.20	12.20
EUR/SEK	10.90	10.90	11.00	11.10	11.10
NOK/SEK	0.91	0.92	0.92	0.91	0.90
DKK/SEK	1.46	1.46	1.47	1.49	1.49
AUD/SEK	6.15	6.15	6.19	6.24	6.23
NZD/SEK	5.35	5.40	5.45	5.60	5.60
CAD/SEK	6.75	6.75	6.70	6.60	6.49
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.59	2.60	2.62	2.71	2.78
HUF/SEK	2.82	2.79	2.75	2.71	2.71
CZK/SEK	0.45	0.45	0.45	0.46	0.46
TRY/SEK	0.22	0.21	0.21	0.20	0.18
ZAR/SEK	0.55	0.56	0.55	0.55	0.55
CNY/SEK	1.322	1.323	1.317	1.311	1.298
INR/SEK	0.104	0.105	0.103	0.101	0.099

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	19/12/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	10.19	10.17	10.08	10.08	10.08
JPY/NOK	6.48	6.56	6.63	6.77	6.95
GBP/NOK	13.63	13.52	13.48	13.56	13.78
CHF/NOK	12.81	12.93	13.04	13.41	13.63
SEK/NOK	1.09	1.09	1.09	1.10	1.12
EUR/NOK	11.93	11.90	12.00	12.20	12.40
DKK/NOK	1.60	1.59	1.61	1.64	1.66
AUD/NOK	6.73	6.71	6.76	6.86	6.96
NZD/NOK	5.86	5.90	5.95	6.15	6.25
CAD/NOK	7.38	7.37	7.31	7.25	7.25
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.83	2.83	2.86	2.98	3.10
HUF/NOK	3.08	3.05	3.00	2.98	3.02
CZK/NOK	0.49	0.49	0.50	0.51	0.52
TRY/NOK	0.24	0.23	0.22	0.21	0.20
ZAR/NOK	0.61	0.61	0.60	0.61	0.62
CNY/NOK	1.45	1.44	1.44	1.44	1.45
INR/NOK	0.11	0.11	0.11	0.11	0.11

Source: Danske Bank

Danske Bank FX forecasts vs USD

Last Update: 19/12/2025

G10	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.17	1.17	1.19	1.21	1.23
USD/JPY	157	155	152	149	145
GBP/USD	1.34	1.33	1.34	1.34	1.37
USD/CHF	0.79	0.79	0.77	0.75	0.74
USD/SEK	9.31	9.32	9.24	9.17	9.02
USD/NOK	10.19	10.17	10.08	10.08	10.08
USD/DKK	6.38	6.38	6.27	6.16	6.06
AUD/USD	0.66	0.66	0.67	0.68	0.69
NZD/USD	0.57	0.58	0.59	0.61	0.62
USD/CAD	1.38	1.38	1.38	1.39	1.39

EM	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.59	3.59	3.53	3.39	3.25
USD/HUF	331	328	336	339	333
USD/CZK	20.80	20.85	20.34	19.92	19.51
USD/TRY	42.81	43.40	44.90	47.00	51.30
USD/ZAR	16.79	16.75	16.68	16.57	16.35
USD/CNY	7.04	7.04	7.02	7.00	6.95
USD/INR	89.65	89.00	89.50	90.50	91.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	19/12/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.34	1.33	1.34	1.34	1.37
GBP/JPY	210	206	203	200	198
EUR/GBP	0.88	0.88	0.89	0.90	0.90
GBP/CHF	1.06	1.05	1.03	1.01	1.01
GBP/SEK	12.46	12.39	12.36	12.33	12.33
GBP/NOK	13.63	13.52	13.48	13.56	13.78
GBP/DKK	8.54	8.48	8.38	8.29	8.28
GBP/AUD	2.03	2.01	2.00	1.98	1.98
GBP/NZD	2.33	2.29	2.27	2.20	2.20
GBP/CAD	1.85	1.83	1.85	1.87	1.90
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.81	4.77	4.72	4.56	4.44
GBP/HUF	442	443	449	456	456
GBP/CZK	27.83	27.73	27.19	26.78	26.67
GBP/TRY	57.34	57.70	60.03	63.19	70.11
GBP/ZAR	22.47	22.27	22.30	22.28	22.35
GBP/CNY	9.42	9.36	9.39	9.41	9.50
GBP/INR	119.46	118.33	119.67	121.67	124.37

Source: Danske Bank

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